

BlackRock's CoRI Retirement Indexes

Another example of a bond fund that seeks to immunize interest rate risk for those approaching retirement is BlackRock's series of CoRI Retirement Indexes.

The CoRI Retirement Indexes are gauged to help retirees understand the cost of one dollar of cost-of-living adjusted (COLA) income for the remainder of their lives. They provide the indexes for those aged fifty-five to seventy-four. For the fifty-five to sixty-four indexes, the goal is to put together a collection of bond investments that can track the evolving cost of purchasing a single-premium immediate annuity (SPIA) with a 2.5 percent COLA at age sixty-five. After sixty-five, the indexes are meant to track the evolving cost of purchasing a SPIA.

These indexes provide retirees with a clear way to understand how much sustainable income they could expect to obtain with their savings. For instance, on January 3, 2017, the CoRI Index for a fifty-six-year-old planning to retire at sixty-five was \$14.96. Someone who saved \$100,000 and invested in this fund could expect to obtain \$6,684 ($\$100,000 / \$14.96 = \$6,684$) in cost-of-living adjusted income for life starting at age sixty-five should they sell the fund at that time and buy an annuity. For a sixty-five-year-old, the CoRI index was priced at \$20.91. One divided by this number gives us a spending rate, which in this case is 4.8 percent. This reflects the median price of commercial SPIAs with unisex mortality assumptions (as required for ERISA qualified retirement plans) and the 2.5 percent COLA. The CoRI index is priced higher for the sixty-five-year-old because there is no deferral period for the investment to earn interest before income begins. After sixty-five, the index value decreases because the present value of a lifetime income shrinks in relation to the remaining time horizon at more advanced ages.

The planning notion is that assets in the CoRI index could be used to purchase a SPIA at sixty-five, and the investments track the cost of this SPIA. The investment comes with no guarantees, as the fund managers are essentially using bonds to track the hypothetical cost of a deferred-income